Dry Bulk Shipping

Bi-Weekly Industry Report

May 27, 2025

- **Stability Persists Albeit Nervousness Amongst Market Participants –** Since early April, the dry bulk market has seen **limited activity**, with spot indices remaining within a broad range and freight futures gradually declining toward spot rates. To date, freight rates have shown **little inclination to rise significantly**. In terms of overall volume, both coal and iron ore trading remain subdued. Notably, **iron ore prices** have remained **stable** at approximately $100 per ton, while coal prices have fallen to multi-year lows. As we approach the summer months, increased volatility in the Capesize spot market is anticipated, aligning with historical seasonal patterns. The West Africa region is expected to experience a slowdown in bauxite shipments due to seasonal rains commencing in early to mid-July. Conversely, Brazil's iron ore exports are projected to remain strong at relatively high levels throughout the remainder of the year. The dynamic between export volumes from these two regions will be key in shaping the Capesize market in the months ahead. Overall, we **expect activity levels to remain steady**, supporting current price levels. However, any potential tightening caused by positioning could quickly trigger upward spikes, particularly given the prevailing **positive sentiment** in the industry. This optimism is also reflected in the robust pricing levels observed in the secondhand vessel market.

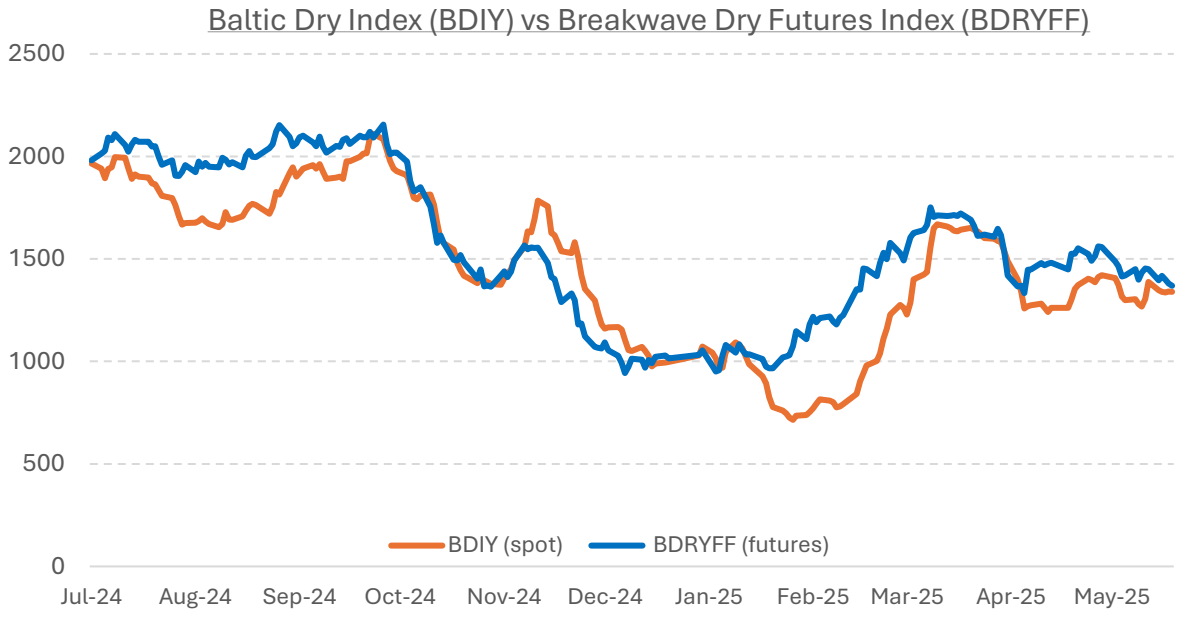
- **Iron Ore Prices Stable as Market Awaits New Supply –** Iron ore prices remain unexpectedly **stable** despite an outlook characterized by weak supply and demand fundamentals. With the upcoming addition of West African production, most notably from the **Simandou project**, which is expected to commence shipping its first cargo in late November, there appears to be **limited risk of tightness** in the physical market in the near term. On the demand side, we anticipate a **slight decline** in **Chinese steel production** this year, reflecting both domestic and international weakness. Steel **export volumes** from China likely **peaked** last year, and recent trade tensions are expected to further constrain export volumes. While this does not suggest a collapse in demand, it is probable that China's **iron ore imports** will be **lower** for the full year compared to 2024. The **longer distances** associated with the new West African supply are expected to **benefit** the shipping market in 2025. However, the overall volume of cargo in transit remains relatively modest, which continues to be a structural downside for seaborne bulk trade.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	Neutral
Sentiment:	Positive
Fundamentals:	Neutral
Breakwave Dry Futures Index:	**1369**
30D: -11.8%	↓
YTD: 35.0%	↑
YOY: -34.2%	↓
Baltic Dry Index (spot):	**1340**
30D: -2.4%	↓
YTD: 34.4%	↑
YOY: -25.4%	↓

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

Breakwave Advisors Research
research@breakwaveadvisors.com



The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	**YTD**	**YOY**
China Steel Production	259mt	1.08%
China Steel Inventories	4.9mt	-22.64%
China Iron Ore Inventories	137mt	-5.82%
China Iron Ore Imports	388mt	-5.71%
China Coal Imports	153mt	-5.26%
China Soybean Imports	23mt	-14.58%
Brazil Iron Ore Exports	85mt	1.15%
Australia Iron Ore Exports	208mt	-1.56%

Supply		
Dry Bulk Fleet	1035 mdwt	2.6%

Freight Rates		
Baltic Dry Index, Average	1,192	-34.3%
Capesize Spot Rates, Average	13,883	-40.5%
Panamax Spot rates, Average	8,985	-37.7%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

Disclaimer: *This research report has been prepared by Breakwave Advisors LLC solely for general information purposes and for the recipient's internal use only.* ***This report does not constitute and will not form part of and should not be construed as a solicitation of any offer or advice to buy or sell any security, commodity or instrument or related derivative or to participate in any trading or investment strategy****. The opinions and estimates included herein reflect views and available information as of the dates specified and may have been and may be subject to change without notice. An investment in BDRY and/or BWET ("the Funds") involves significant risks. You could lose all or part of your investment in the Funds, and each of the Fund's performance could trail that of other investments. The value of the Shares of the Funds relates directly to the value of, and realized profit or loss from, the Freight Futures and other assets held by the Fund, and fluctuations in price could materially affect the Funds' shares. Investments in freight futures typically fluctuate in value with changes in spot charter rates. Charter rates for dry bulk and tanker vessels are volatile and have declined significantly since their historic highs and may remain at low levels or decrease further in the future. The Funds will not take defensive positions to protect against declining freight rates, which could cause a decline to the value of the Funds' shares.* ***The Funds are not a mutual funds or any other type of investment company within the meaning of the Investment Company Act of 1940, as amended, and are not subject to regulation thereunder.***
Please visit www.breakwaveadvisors.com/disclosures